



# Divestitures

**While a merger results in a bigger company, a divestiture reduces the size of a business by breaking it down into smaller components or divisions, which are then sold off or dissolved.**

## How it works

The typical scenario for a divestiture is a company that is struggling to pay off debt it has taken on to expand into new areas of business that are not yet profitable. To save the rest of the company from the burden of debt, management decides to start a divestiture. Generally, the goal is to shed the least profitable areas of operation, or from the potential buyer's point

of view, those which have promise but are not yet profitable. The process of restructuring by divestiture is designed to free the company of divisions with low return, to reduce debt and financing requirements, and to give the shareholders a stronger return. The market price of the parent company's shares often bounces back strongly and its spin-off companies may thrive too.

## SUCCESSFUL SPIN-OFFS

**Mondelez** The spin-off of Kraft Foods owns snack foods Oreos, Ritz, and Trident.

**Coach** Sara Lee food's spin-off makes luxury leatherware.

**Expedia** Media company IAC hived off online travel to Expedia.

## Divestiture in practice

Smith Industries Inc. is one example of an industrial paint conglomerate that has grown rapidly over the past five years, due to an increase in profits from its expanding sales in China. It diversified into agricultural chemicals, textiles, and biotechnology, and set up a separate division for each. Share prices fell in response to poor financial performance.

### Making a decision

Faced with a downturn in business, the company divests the newer business areas that have not yet shown strong returns despite positive signs of growth.



INDUSTRIAL PAINT



TEXTILES

Smith Industries Inc.



AGRICULTURAL CHEMICALS



BIOTECHNOLOGY

### Announcing the sale

Smith Industries Inc. now announces the sale of its three remaining divisions: agricultural chemicals, textiles, and biotechnology.



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FOR SALE



AGRICULTURAL CHEMICALS

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TEXTILES

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BIOTECHNOLOGY